68. Match List I with List II and select the correct answer using the codes given below the lists:

List I		List II
A. Boom	1.	Business activity at high level with increasing income, output and employment at macro level
B. Recession	2.	Gradual fall of income, output and employment with business activity in a low gear
C. Depression	3.	Unprecedented level of under employment and unemployment, drastic fall in income, output and employment
D. Recovery	4.	Steady rise in the general level of prices, income, output and employment

	A	B	C	D
(a)	1	2	3	4
(b)	1	2	4	3
(c)	2	1	4	3
(d)	2	1	3	4

Ans. (a) : An **economic boom** is the expansion and peak phases of the business cycle. It is also known as an upswing, upturn, and a growth period. During a boom, key economic indicators will rise. Gross domestic product (GDP), which measures a nation's economic output.

- **Economic recession** is a period of general economic decline and is typically accompanied by a drop in the stock market, an increase in unemployment, and a decline in the housing market. Generally, a recession is less severe than a depression.
- In economics, a **depression** is a sustained, long-term downturn in economic activity in one or more economies. It is a more severe economic downturn than a recession, which is a slowdown in economic activity over the course of a normal business cycle.
- Depressions are characterized by their length, by abnormally large increases in unemployment, falls in the availability of credit, shrinking output as buyers dry up and suppliers cut back production and investment, more bankruptcies including sovereign debt defaults, significantly reduced amounts of trade and commerce (especially international trade), as well as highly volatile relative currency value fluctuations (often due to currency devaluations). Price deflation, financial crises and bank failures are also common elements of a depression that do not normally occur during a recession.
- An **economic recovery** is the phase of the business cycle following a recession, during which an economy regains and exceeds peak employment and output levels achieved prior to downturn.

69. Assertion A : The rate of growth of India's exports has shown an appreciable increase after 1991.

Reason R : The Govt. of India has resorted to devaluation.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is NOT the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

Ans. (a) : Devaluation of currency is conscious decision taken by Central bank of country to lower the external value of domestic currency. As a result of this, Indian goods become cheaper for Foreigners. Import would become costlier.

70. ".....instill into the vast millions of workers, men and women, who actually do the job, a sense of partnership and of cooperative performance....." The above passage related to:

(a) Planned Development
(b) Community Development
(c) Panchayati Raj System
(d) Integrated Development Programme

Ans. (b) : The above given passage relates to the Community Development Programme. This programme was started in 1952. All over development of rural areas was the prime objective of this programme.

71. The standing Committee of State Finance Ministers recommended in January, 2000 uniform rates across the states in respect of:

(a) Value added tax
(b) Sales tax
(c) Stamp duty and registration fees
(d) Agricultural income tax

Ans. (b) : A sales tax is a consumption tax charged at the point of purchase for certain goods and services. Sales Tax is levied on purchase and sale of goods in India and is levied under the authority of both Central Legislation (Central Sales Tax) and State Governments Legislations (Sales Tax). The Central government levies Sales Tax principally on intra-state sale of goods.

72. Economic Liberalisation in India started with:

(a) Substantial changes in industrial licensing policy
(b) The convertibility of Indian Rupees
(c) Doing away with procedural formalities for foreign direct investment
(d) Significant reduction in tax rates

Ans. (a) : In 1991, the Government of India announced a new economic policy in relation to various aspects of the national economy. 'Economic liberalization' was the main feature of the new policy. It started with the abolition of the 'licensing system' in respect of all industries except industries of national importance.

73. Gilt-edged market means

(a) bullion market
(b) market of Government securities
(c) market of guns
(d) market of pure, metals

Ans. (b) : Government and semi-government securities are traded through the Reserve Bank in the 'Gilt Edged' market. 'Gilt edged' means the best. It is called excellent because it keeps the price of government and semi-government securities stable and does not fluctuate like other securities in this sector. This is the reason that banks and other institutions have special attraction for these securities.

PHYSICS

74. Consider the following features of newer models of motor cars:

1. Radial tyres
2. Streamlined body
3. Multipoint fuel injection
4. Catalytic converter with exhaust

Which of these features make the newer models of motor cars more fuel efficient?

(a) 1 and 2 (b) 2 and 3
(c) 2, 3 and 4 (d) 1, 3 and 4

Ans. (b) : A "streamlined" design is one in which objects that move through a gas or liquid are shaped to match these lines, and therefore, reduce the energy required to produce that motion. Multi point fuel injection system injects fuel into individual cylinders, based on commands from the on board engine management system computer, popularly known as the Engine Control Unit/ECU. These techniques result not only in better 'power balance' amongst the cylinders but also in higher output from each one of them, along with faster throttle response. The other two options radial tyres and catalytic converter with exhaust do not contribute to make the car more fuel efficient.

75. Insect-resistant cotton plants have been genetically engineered by inserting a gene from a/an:

(a) Virus (b) Bacterium
(c) Insect (d) Plant

Ans. (b) : Insect resistant cotton plants have been genetically engineered by inserting a gene from bacterium Bacillus thuringiensis.

76. Which one of the following does a TV remote control unit use to operate a TV set?

(a) Light waves (b) Sound waves
(c) Microwaves (d) Radio waves

Ans. (d) : Waves of GHz frequency are used to operate TV sets. Light, sound and microwaves cannot be transmitted at GHz, while radio waves can be transmitted. Radio waves movement depends on the direction. This is why the remote has to be placed in front of the TV set.

77. A noise level of 100 decibels would correspond to

(a) Just audible sound
(b) Ordinary conversation
(c) Sound from a noisy street
(d) Noise from a machine-shop

Ans. (d) : The decibel is commonly used in acoustics to quantify sound levels relative to a 0 dB reference which has been defined as a sound pressure level of .0002 microbar. The noise level of 100 decibel would corresponds to noise from a machine shop.

78. A 'black hole' is a body in space which does not allow any radiation to come out. This property is due to its.

(a) very small size (b) very large size
(c) very high density (d) very low density

Ans. (c) : A black hole is a region of spacetime exhibiting gravitational acceleration so strong that nothing, no particles or even electromagnetic radiation such as light, can escape from it. Temperature is on the order of billionths of a kelvin for black holes of stellar mass, making it essentially impossible to observe. The theoretical density of a black hole depends on how big it is and how you define its size. The density at the center of a black hole is infinite, which leads to difficulties to measure density in modern cosmology.

79. Fluorescent tubes are fitted with a choke. These choke oil

(a) Steps up the line voltage
(b) Steps down the line voltage
(c) Reduces current in the circuit
(d) Chokes low frequency currents